

Department of Mathematical Sciences
Carnegie Mellon University

Summer 2021

MSCF Markets Prep

Instructor: William Hrusa, E-mail: wh15@andrew.cmu.edu

Lectures: 1:00 - 4:00 PM, August 9, 13, 16, 20

Office Hours: There will be office hours in person and on Zoom. The schedule will be announced on Canvas.

Course Description: The purpose of this course is to give an overview of how financial markets operate, introduce some important types of financial securities, and to present some basic trading ideas/strategies. The presentation will be done in a way that is consistent with how these topics are presented in MSCF classes. An important goal of the course is to help students prepare for internship interviews (which have been coming earlier and earlier.) We will make use of *Canvas* (<https://www.cmu.edu/canvas/>) to post course materials.

Grading: The course will be graded pass/fail. You need to complete a small project (approximately 2 or 3 typed pages) relevant to financial markets. This can be a trade proposal involving whatever assets you want. It can also be a short technical paper on a topic such as option volatility, put-call parity for American options, computing the Black-Scholes price for a nonstandard derivative security, utility maximization, yield curves, etc. I will post suggestions on Canvas. Preparing such a document should prove very useful for interviews. We will talk more about this in lecture. The projects are due by 11:59 PM on Thursday August 26. Neatly handwritten projects will also be accepted so long as the content is approximately equivalent to 2 or 3 typed pages.